

Japan Machinery: Construction: Lower Section 232 tariffs on tractors/construction machinery positive for Japanese manufacturers

During morning trading on June 2 (Japan time), the White House announced a presidential proclamation amending Section 232 tariffs on steel and aluminum ([link](#)). As a result, the tariff rate applicable to agricultural machinery such as combines and harvesters will be lowered to 15% from 25%. The proclamation also indicates an expansion of the industrial machinery categories to which a 15% tariff will apply, to include mobile industrial equipment such as bulldozers and forklifts on imports from certain countries, including Japan. The above changes will take effect on June 8 (EST) with the aim of promoting near-term investment to rebuild the nation's industrial base, and are set to expire on December 31, 2027.

Accordingly, the tariff rate applied to exports from Japan to the US for tractors and construction machinery (hydraulic excavators, loaders, bulldozers, etc.) is set to decline to 15% from 25%, a positive change overall for Japanese construction machinery manufacturers. That said, with the new tariff rate to be applied to shipments arriving on June 8 or after, we estimate these products will not actually be sold externally until November-December or later. We therefore calculate the potential impact on earnings for the current fiscal year to be c.+¥10 bn for Komatsu, with limited impact for Kubota and Takeuchi Manufacturing. We expect full-scale contribution for all the companies to materialize from fiscal 2027 onward.

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